

What do the industry leaders feel about recent budget announcements?



"The custom duty revision for the compressors, used in refrigeration and air-conditioning, from 12.5 percent to 15 percent will promote indigenous manufacturing of the same and is in line with making India self-reliant in the long run. There have been increases in import duties on motors and PCBs as well. These are good for the medium and long term but will impact price adversely in short term due to insufficient output capacities," mentioned **Kamal Nandi, President, CEAMA and Business Head & Executive Vice President, Godrej Appliances.**

"We welcome the budget presented today by honorable FM. Though there are no direct incentives introduced for the EV industry, but the proposed steep increase in capital expenditure will push the growth and induce a higher consumption, which will definitely boost automobile and EV sales. From EV industry's point of view one expectation that remains unanswered in the Budget is the reduction on GST on lithium batteries and other raw materials to five percent. The current GST structure leads to a huge working capital blockage, thus hindering growth," said **Nishchal Chaudhary, Co-Founder & CEO, BattRE.**



"The ten billion rupees (₹ 1,000 crore) grant for the growth of the solar energy sector and fifteen billion rupees (₹ 1,500 crore) to the renewable energy sector is also a welcome move and will help the country in achieving the ambitious target of 175GW of renewable energy capacity by the year 2022. These measures and reforms will definitely help improve the health of the sector and enhance growth in the coming few years," noted **Kush S, CEO, Essar Power.**

"The move to provide greater impetus to India's manufacturing sector with outlay of almost ₹ 2 trillion over the next five years is indeed a welcome move. We are hopeful this will pave the way for enhanced adoption of digital engineering capabilities by domestic players, especially in the Industry 4.0 segment, to give them a global edge. With patents and innovations being at the core of our proposition as a pure-play engineering services provider, it was encouraging to know that Innovation and R&D was classified under the six pillars of focus for this year's Union Budget," said **Keshab Panda, CEO & MD, L&T Technology Services.**



"In the unprecedented times, the Budget is well balanced and provides the right stimulus to strengthen economy and create jobs. Finance Minister did a commendable job with substantial allocation to key sectors like healthcare, infrastructure, education, and manufacturing. No additional burden on account of direct taxes was a big relief," explained **Dr BVR Mohan Reddy, Executive Chairman, Cyient.**

"The Hon'ble Finance Minister laid major emphasis on enhancing domestic manufacturing of electronic equipment. The Union Budget 2021 has a strong focus towards the revival of the economy and extensive plans for Atmanirbhar Bharat. The 2.5 percent taxation on manufacturing of smartphone parts is also a vital decision as it will boost the inclusive growth of the country and further bring major changes in the consumer electronic and domestic manufacturing segment," noted **Sameer Katole, CEO, Crossloop.**



"The Union Budget 2021-2022 has a pragmatic approach to revive the Covid-19 hit economy. While the Budget stressed on Atmanirbhar Bharat and Make in India, it is important to note that the costs would only increase in the immediate future for the existing players in consumer electronics industry. An increase in import duties is a welcome move towards Atmanirbhar. However, considering that the current availability of technical skill and machinery isn't strong, the industry is likely to witness a struggle in the short run due to an increase in cost for importing components and parts leading to an increase in the manufacturing cost for the players in the market," feels **Ameen Khwaja, Founder and CEO, Ptron.**

now attract 10 percent more BCD. The BCD for these, prior to recent Budget announcements stood at five percent only. In fact, a study by GOGILA and C-kinetics points towards India as one of the largest markets in the world for solar lanterns. The report indicates that India has a potential to be a \$300-million market for lanterns.

"To encourage solar manufacturers, we are raising duty on solar inverters from 5 percent to 20 percent and

on solar lanterns from five percent to 15 percent," Finance Minister Nirmala Sitharaman announced in her 2021 Budget speech at the Parliament.

Custom tariff regulations have also been announced for apparatus, control gear, and transmission equipment and auxiliary equipment (including those required for testing and quality control) and components required for the initial setting up of a solar power generation project.

Mobile communication infrastructure: Keeping India and the world running

The series of events that followed after the episode between the authorities of the USA and the Huawei team made the entire telecommunications industry go through a lot of shocks and surprises. While the authorities back in the United States have blacklisted a lot of vendors from China, the emerging 5G has posed multiple opportunities for mobile communication infrastructure providers worldwide.

Keeping in mind Prime Minister Narendra Modi's call for *Atmanirbhar Bharat*, the finance ministry has levied 2.5 percent BCD on all goods used for the manufacture of base stations for mobile communication infrastructure. This BCD, earlier, was set at zero. The new BCD is set to come into effect from April 2020.

"Much is expected from the PLI scheme, and we hope that components, parts, and raw materials will get a greater share of this pie as new schemes are announced. We also hope that further support will be forthcoming for export promotion and capital investment support for EMS sector by expanding the SPECS policy coverage. Several changes have also been made in the Customs and GST Rules, which should make procedures simpler and transparent. The Budget has given the necessary fiscal stimulus and reforms push. With determined implementation, ELCINA hopes that the economy will be back on track and we will achieve our target of a US\$400 billion electronics sector," noted Vasani.

Out of 1.15 trillion rupees worth of electronics components that India imported in 2019-20, 37 percent were imported from China. Sanjay Dhotre, minister of State for Communications and Electronics and IT, revealed these numbers recently in a written reply in Rajya Sabha. The minister, citing data obtained from the Directorate General of Commercial Intelligence and Statistics (DGCI&S), said India imported smartphone components worth 560.39 billion rupees during 2019-20. Out of the total amount, smartphone components worth 254.41 billion rupees were imported from China. **EFY**